



Weekly Insights | Sep 18, 2025

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## Executive Summary

### Corn – Export Sales to Mexico Offset Harvest Pressure

CME corn futures (Dec '25) were nearly unchanged, slipping 0.6 percent to \$4.24/bu by September 24. Two USDA flash sales to Mexico totaling about 443,000 MT supported values, alongside weekly inspections of 1.33 MMT, which were 12 percent below the prior week but still 12 percent ahead of last year. Funds covered shorts, lifting open interest, while commercials added new hedges as harvest advanced. Basis was mixed: Gulf bids weakened under high barge freight costs, while processors and ethanol plants bid firmly, leaving the national index near 22¢ under December. The Dec/Mar spread widened slightly to 19¢ (about 61 percent of full carry), signaling routine storage incentives

without burdensome surplus.

### Soybeans – Argentine Tax Suspension Pressures Futures and U.S. Basis

November soybeans dropped 3.3 percent to \$10.09/bu as Argentina suspended export taxes through October, spurring heavy farmer selling and cheapening global offers. Chinese crushers booked about 10 Argentine cargoes, sidelining U.S. origin. Export inspections plunged 40 percent week-on-week to 484,000 MT, while new-crop commitments remain lackluster. Domestic crush margins stayed robust, with processors bidding up in some areas, but harvest supplies and weak Gulf demand pushed the national basis to about 43¢ under November futures. The Nov/Jan spread widened modestly to 15¢ (about 60 to 65 percent of full carry) as harvest deliveries build.

### Wheat – Abundant Global Supply Keeps Futures Defensive

CBOT December wheat fell 1.7 percent to \$5.19/bu as large crops in Russia, Canada, and the EU reinforced heavy world supply. U.S. inspections of about 0.85 MMT were solid compared with last year, but exports remain uncompetitive against Black Sea offers. SRW Gulf basis held firm near 80¢ over December, while HRW FOB Texas Gulf improved by roughly 14¢ to about 78¢ under December as exporters covered needs. The December–March spread near 18¢, about 50 to 55 percent of full carry, underscores ample but not extreme stocks.

(Carry % calculated assuming 7% annual interest and \$0.05/bu per month storage/insurance cost over the spread interval.)

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## Macro/Policy – Softer Dollar, Divergent South American Currencies Shape Trade

The U.S. dollar index eased to about 97.3 after the Federal Reserve's rate cut, marginally improving U.S. competitiveness. Brazil's real strengthened to 5.30 per dollar, discouraging farmer selling and slowing corn and soybean exports, while Argentina's peso collapsed to about 1,412 per dollar on the official market and around 1,475 on the parallel market, triggering a wave of farmer sales during the tax holiday. Crude oil held steady between \$63 and \$64 per barrel, sustaining favorable ethanol and biodiesel margins, while U.S. Treasury yields slipped below 4.1 percent, trimming grain storage costs.

## Weather

U.S. harvest benefitted from warm, dry conditions across much of the Midwest, accelerating corn and soybean maturity while leaving subsoil deficits severe in the western Corn Belt. A light frost in North Dakota and northern Minnesota caused minor, localized damage. In South America, Brazil's soybean planting awaited consistent rains in central regions, while dryness in southern Brazil raised wheat concerns. Argentina remained moisture-limited across the Pampas despite some showers, leaving planting conditions less than ideal.

## What's Next (Sep 25 – Oct 1):

**U.S. Government Funding:** A potential federal shutdown by Oct 1 could disrupt USDA reporting and grain inspections.

**Quarterly Data:** Sept 30 USDA *Grain Stocks* and *Small Grains Summary* will finalize old-crop carryout and update wheat production.

**Export Sales:** Sep 25 report will confirm whether Argentina's surge is displacing U.S. corn and soy; China's absence from U.S. purchases remains a key risk.

**Logistics:** Critically low Mississippi River levels keep barge freight inflated – any rains or Army Corps measures could ease pressure.

**South America:** Brazil needs consistent rains by early October to accelerate soybean planting, while Argentine sowing hinges on financing and weather after the tax holiday.

**Black Sea & Policy:** Russian export pace and Argentina's campaign rhetoric will shape global trade flows, alongside any movement on Chinese tariffs.

## Table A – CME Futures (Front Contracts)

(Prices in USD per bushel, volume/open interest in contracts)

| Contract (Front Month) | 9/17/2025<br>Close | 9/24/2025<br>Close | Change<br>(Δ) | Δ%    | 5-day Realized<br>Vol* | Open Interest Δ |
|------------------------|--------------------|--------------------|---------------|-------|------------------------|-----------------|
| Corn (Dec '25)         | \$4.27             | \$4.24             | -\$0.03       | -0.6% | 11% (ann.)             | +50k (est.)     |
| Soybeans (Nov '25)     | \$10.44            | \$10.09            | -\$0.35       | -3.3% | 15% (ann.)             | -10k (est.)     |
| Wheat (Dec '25)        | \$5.28             | \$5.19             | -\$0.09       | -1.7% | 12% (ann.)             | +5k (est.)      |

5-day realized volatility estimated from daily settlement price changes.

Actual contract open interest changes are estimated; total corn OI rose slightly as new-crop hedges built, while wheat OI fell with Sep contract deliveries.

## Table B – Key Calendar Spreads & % of Full Carry

| Spread (Crop<br>'25→'26) | 9/18<br>Quote | 9/24<br>Quote | Δ<br>(carry) | % Full<br>Carry* | Market Implication                      |
|--------------------------|---------------|---------------|--------------|------------------|-----------------------------------------|
| Corn Dec–Mar             | +\$0.17       | +\$0.19       | +0.02        | 61%              | Carry widening; storage hedge incentive |

|               |         |         |       |     |                                           |
|---------------|---------|---------|-------|-----|-------------------------------------------|
| Soy Nov–Jan   | +\$0.13 | +\$0.15 | +0.02 | 65% | Moderate carry; crushers absorbing supply |
| Wheat Dec–Mar | +\$0.16 | +\$0.18 | +0.02 | 55% | Modest carry; steady commercial coverage  |

Assumes 7% annual interest + \$0.05/bu/month storage/insurance. Full carry (3 months) ≈ \$0.22–\$0.23 for corn & SRW wheat; (2 months) ≈ \$0.22 for soybeans. % of full carry = (calendar spread ÷ calculated full carry).

**Table C – Notable International Futures (weekly moves, if significant):**

| Exchange (Front Mo)       | 9/18 USD Price    | 9/24 USD Price    | Δ     | Notes                                                  |
|---------------------------|-------------------|-------------------|-------|--------------------------------------------------------|
| Dalian Corn (Jan)         | ¥2,230 (\$7.70)   | ¥2,225 (\$7.68)   | -0.3% | China corn futures slipped; still premium over imports |
| Dalian Soymeal (Jan)      | ¥3,580 (\$487)    | ¥3,600 (\$490)    | +0.6% | Soymeal firm, hog demand steady                        |
| B3 (São Paulo) Corn (Nov) | R\$60.0 (\$12.25) | R\$59.5 (\$12.15) | -0.8% | Brazil corn pressured by export pace                   |
| Euronext Wheat (Dec)      | €192.0 (\$225)    | €191.0 (\$224)    | -0.5% | EU wheat capped by cheap Black Sea offers              |

## Corn Market Deep Dive

**Futures & Spreads:** December 2025 corn futures were stable this week, settling at \$4.24/bu on September 24, down just 2¢ from the prior week. The market traded quietly, with five-day realized volatility near 11 percent, reflecting a balance between harvest pressure and steady demand. Calendar spreads widened modestly, with Dec '25–Mar '26 at +19¢ (61 percent of full carry) versus 17¢ a week earlier, signaling normal commercial storage incentives without tipping into surplus-driven maximum carry. Options activity was subdued, with implied volatility near 20 percent and skew narrowing as traders anticipated rangebound trade.

**Positioning & Money Flow:** Short covering helped support values. CFTC Commitments of Traders data (as of September 16, published September 19) showed managed money trimming net shorts to roughly –81,500 contracts, the least bearish stance since May. Commercially simultaneously added hedges as new-crop corn filled elevators, lifting total open interest by about 50,000 contracts. This mix reflects commercials locking in storage carries while funds eased off heavy shorts, leaving the market less vulnerable to downside momentum but also lacking speculative buying power.

**U.S. Cash & Basis:** Cash corn showed a split pattern. At the Gulf, CIF premiums for September loadings firmed to +79¢ over December, but high barge freight costs forced FOB offers lower, easing to about +99¢ over December (\$243/MT) from +105¢ the prior week. Interior river elevators tracked the freight pinch, with Mid-Mississippi and Ohio Valley bids falling 5–10¢ as drafts were cut and loadings delayed. By contrast, ethanol plants and feeders held firm: Indiana and Ohio processors stayed near even to +5¢ over December, while western Corn Belt plants paid –20¢ to –10¢, historically strong for harvest. The national corn basis index averaged –22¢ under December, near seasonal norms.

**Export Flows:** Exports remain supportive. Weekly inspections (week ending September 18, reported September 22) reached 1.329 MMT, down 12 percent from the prior week but 12 percent above last year. USDA confirmed two flash sales to Mexico totaling 443,000 MT, highlighting Mexico's role as a consistent buyer. New-crop export sales (week ending September 18, reported September 25) totaled about

641,000 MT, led by Mexico and Japan, with total U.S. commitments at 14.5 MMT, well above last year's pace.

**International Trade:** Brazil's FOB Paranaguá corn stayed around \$215–220/MT, about \$10 below U.S. Gulf offers, keeping Brazil competitive into Asia and the Middle East. The stronger real (R\$5.30/\$) slowed farmer selling, but ANEC raised September exports to 7.12 MMT, matching last year's record. Argentina's government suspended export taxes on corn through October, triggering a rush of sales; exporters registered over 5 MMT of shipments within 48 hours, with FOB Up-River values near \$205/MT, undercutting both Brazil and the U.S. Russia offered corn near \$205/MT FOB, adding to global supply competition, while Ukraine shipped 2.1 MMT in August–September via Danube and rail, though still well below normal.

**Fundamentals & Reports:** Crop Progress (week ending September 21, published September 22) showed corn harvest at 11 percent, in line with the five-year average, with crop condition ratings at 66 percent good/excellent (down one point from the prior week). Ethanol production (EIA, week ending September 20, published September 20) averaged 1.055 million barrels/day, down 50,000 from the prior week but still +0.6 percent year-on-year, with stocks at 22.6 million barrels, the lowest since January. Margins remained positive, around \$0.20/gal, supporting firm processor bids.

**So What?** Corn markets are transitioning smoothly into harvest. Futures stability and modest carry expansion show commercials content to store grain, while basis highlights the split between pressured river/export channels and firm processor demand. Strong Mexican buying and steady ethanol grind are cushioning downside risks, while aggressive Argentine sales and cheaper Brazilian FOBs cap upside. With funds no longer heavily short, the market is balanced but lacks speculative buying. Rangebound trade around \$4.20 looks likely into the September 30 *Quarterly Stocks* report, which is the next catalyst for direction.

## Soybean Market Deep Dive

**Futures & Spreads:** November 2025 soybean futures fell sharply this week, losing 34¾¢ (–3.3 percent) to settle at \$10.09/bu on September 24. The selloff was triggered by Argentina's surprise suspension of export taxes through October, which sent a wave of farmer selling onto the market. Chinese crushers immediately booked an estimated 10 Argentine cargoes, sidelining U.S. origin and pushing U.S. export inspections down more than 40 percent week-on-week to 484,000 MT. The futures curve weakened modestly, with the Nov '25–Jan '26 spread widening to 14–15¢ (60–65 percent of full carry). This structure reflects heavy early harvest deliveries offset by strong crush demand, preventing a collapse into maximum carry.

**Fundamentals & Trade:** The tax holiday in Argentina, combined with a collapsing peso, made Argentine soybeans and products the cheapest globally, undercutting both U.S. and Brazilian offers. Soymeal FOB Rosario fell \$25/MT below U.S. Gulf, while whole beans on Matba-Rofex surged as exporters rushed to register shipments before duties return. In Brazil, FOB Santos premiums rose to +250¢ over November as competition shifted toward Argentine meal and oil, leaving more bean demand to Brazil. In the U.S., Gulf bids softened 5–10¢ under the weight of barge freight costs and South American competition. The national soybean basis averaged –43¢ under November futures, among the weakest harvest-time levels in years, though processors continued to pay premiums thanks to robust crush margins.

**Positioning & Money Flow:** Managed money funds responded to the policy shock by liquidating longs, with open interest in soybeans falling about 10,000 contracts as speculators pulled back. Unlike corn, where funds reduced shorts, soybeans saw outright long liquidation. Commercial hedgers added shorts as harvest pressure mounted and basis weakened. Implied volatility climbed modestly (realized vol near 15 percent), underscoring uncertainty about whether Argentina's export surge is a temporary shock or a structural shift.

**So What?** The soybean market has transitioned abruptly from a demand-driven equilibrium into one dominated by South American supply shocks. With Argentina flooding the market during its tax holiday, U.S. futures and basis are under pressure despite robust domestic crush demand. The risk is asymmetric: should Argentina's policy end on schedule in late October, U.S. and Brazilian beans could regain share, tightening spreads and firming futures. Until then, U.S. soy remains trapped in a weak export environment, with November futures anchored near \$10. Short-term direction hinges on whether China steps in for U.S. purchases despite tariffs or continues to lean entirely on Brazil and Argentina.

## Wheat Market Deep Dive

**Futures & Spreads:** CBOT December 2025 wheat futures extended their slide, losing 8¼¢ (−1.7 percent) to close at \$5.19½/bu on September 24. The downtrend reflects persistent global oversupply, with ample production from Russia, Canada, and the EU offsetting any regional concerns. While rallies remain shallow and fleeting, spreads suggest an orderly market rather than one in distress. The Dec '25–Mar '26 carry widened slightly to 18¢, equal to 50–55 percent of full carry. This level signals adequate commercial hedging activity and comfortable storage returns, but not the burdensome surpluses that would push spreads toward maximum carry.

**Global Supply & Demand:** Large Northern Hemisphere crops continue to weigh on futures. Russian export offers remain aggressive, with 12.5 percent protein wheat holding near \$255/MT FOB, keeping pressure on U.S. HRW and SRW in key tenders. Canada and the EU both raised crop estimates, while Australia's crop prospects steadied despite dryness. Together, these upgrades reinforce the global abundance theme. U.S. export inspections were 0.85 MMT for the week, solid compared with last year, but still insufficient to offset stiff Black Sea competition.

**Cash & Basis:** In the U.S. cash market, SRW Gulf basis stayed firm near +80¢ over December as traders covered prior sales, while HRW FOB Texas Gulf strengthened by 14¢ to ~78½¢ under December, reflecting exporter buying after harvest. Interior basis was steady, with mills largely covered for fall needs. Quality concerns linger in some spring wheat regions, but with global supplies so heavy, they have not materially altered trade flows.

**Speculative Positioning:** Managed money remains heavily net short across wheat contracts, with Chicago SRW attracting the bulk of bearish exposure. The persistence of this large short base is both a weight on prices and a latent source of volatility. Funds have consistently re-established shorts on rallies, confident that abundant global supply caps upside. Yet this short exposure leaves the market primed for sharp squeezes on any bullish catalyst, whether logistical disruption, weather shock, or geopolitical event. Commercial hedgers have taken the other side, steadily layering in forward sales. As a result, open interest has crept higher while the forward curve remains in carry, underscoring the dominance of commercial storage hedging.

**So What?** Wheat markets remain trapped in a bearish fundamental backdrop, but event-driven volatility is a clear risk. On one hand, abundant supply, with Russia, Canada, and the EU all flush with exportable wheat, suggests rallies will be sold and futures will stay defensive near the \$5.20 area. On the other, prices are now low enough to stimulate incremental demand: U.S. exports are running ahead of last year, and cheaper wheat is drawing into feed channels. This value-driven buying places a floor under the market, limiting downside. For now, expect wheat to grind in a narrow range with occasional sharp rallies when shorts are forced to cover. The key is that futures are no longer trading on weather or crop size alone, instead, the battle is between entrenched bearish supply expectations and slowly improving demand. Until a fundamental tightening materializes, wheat will remain rangebound, with risk skewed toward choppy, event-driven price action.

## U.S. Cash Market & Basis

Corn basis showed a split pattern this week. At the Gulf, CIF barge corn premiums firmed to +79¢ over Dec for September loadings, reflecting the scramble for barge capacity amid record freight costs. Yet the high transportation expense forced FOB Gulf offers lower, easing to about +99¢ over Dec (\$243/MT) versus +105¢ the prior week. This dynamic left exporters passing freight burdens back to farmers through weaker basis. Interior river elevators tracked the freight pinch, with some bids in the Mid-Mississippi and Ohio valleys falling 5–10¢ as barge drafts were cut and loadings delayed. In contrast, ethanol plants and feeders in the interior maintained relatively firm bids: Indiana and Ohio processors held steady near even to +5¢ over Dec, and some western Corn Belt plants were paying –20¢ to –10¢, historically strong for harvest. The cmdtyView national corn basis index averaged –22¼¢ under Dec, slightly firmer than the prior week but near seasonal norms.

Soybean basis weakened broadly on harvest pressure and export softness. The Gulf basis slipped 5–10¢ as U.S. offers lost ground to Argentina's heavily discounted beans after the tax holiday. Nationally, soybean basis averaged –43¢ under November futures, among the weakest early-harvest levels in years. River locations were especially pressured by the freight spike, with Upper Mississippi elevators cutting bids sharply. By contrast, domestic processors maintained firm bids thanks to strong crush margins: board crush values stayed historically high, and some Western Corn Belt crushers paid up to +10¢ over Nov to secure supplies even as harvest deliveries expanded. This divergence underscores the tension between robust domestic demand and weak export competitiveness.

Wheat basis showed modest firmness in select channels. Gulf SRW remained relatively strong near +80¢ over Dec, reflecting traders covering prior export commitments. HRW FOB Texas Gulf improved by ~14¢ on the week, now quoted at 78½¢ under Dec, as exporters replenished nearby coverage after harvest. Interior basis was steady, with mills largely covered for fall needs.

**So What?** The cash market is reflecting the same themes evident in futures spreads. Corn and wheat are in carry, with exporters hedging forward and elevators capturing storage returns, while soybeans are under immediate pressure from Argentina's surge. Merchandisers face weak export basis but firm domestic demand in both corn and soy, creating a fragmented market where processors and feeders are better buyers than exporters. For producers, corn and wheat economics favor storage and hedging into deferred months, while soybeans may warrant quicker sales into strong domestic crusher bids rather than holding grain amid weak river values.

## International Cash & Trade Flows

**Brazil:** Brazil's corn exports remain heavy, with ANEC raising its September forecast to 7.12 MMT, matching last year's record pace. Shipments are moving primarily to China, Iran, Spain, and Egypt. FOB Santos corn held steady around \$215–220/MT, about \$10 cheaper than U.S. Gulf offers, while Paranaguá premiums were near +105¢ over December. A firmer real (R\$5.30/\$) has slowed farmer selling, with interior Mato Grosso prices even ticking up slightly to R\$50/60kg, though exporters are still able to pull supplies. First-crop corn planting in Center-South Brazil is 25 percent complete, well ahead of average after early rains in Paraná. On soybeans, Brazil is nearly sold out of old-crop stocks, with September exports pegged near 7.5 MMT. Chinese crushers continue to source mostly Brazilian beans, with premiums rising late in the week as Argentine meal and oil competed for demand.

**Argentina:** A dramatic shift occurred after Argentina's government suspended export taxes on soybeans, corn, and wheat through October 31. Levies were cut from 26 percent to zero on soybeans and from 9.5 percent to zero on corn and wheat, triggering a rush of farmer sales. Exporters registered over 5 MMT of shipments within 48 hours, with corn FOB Up-River values near \$205/MT, still a \$10 discount to Brazil and the U.S. Gulf. Importers including Vietnam, Malaysia, and Egypt quickly booked Argentine corn, while soymeal FOB Rosario fell \$25/MT below U.S. Gulf values. Domestic corn and soybean prices in pesos

collapsed, offset by the peso's steep devaluation to 1,412/USD official (1,475 parallel). The surge may front-load Argentina's exports, leaving a potential lull later this year once the tax holiday ends.

**Black Sea:** Russia continues to dominate wheat exports, offering 12.5 percent protein wheat near \$255/MT FOB. Corn exports remain modest but competitive, with offers near \$205/MT. Ukraine shipped 2.1 MMT of corn in August–September via Danube and rail routes, but overall exports remain 40 percent below normal with the Black Sea corridor still closed and EU transit restrictions in place. New Ukrainian duties on oilseeds have effectively halted raw soybean exports, redirecting some crush demand back to the Americas, though in limited volumes.

**Other Origins:** EU wheat exports are lagging sharply versus last year, while corn imports remain brisk from Brazil and Ukraine. Japan, South Korea, and Taiwan booked corn cargoes from both U.S. and South America at \$255–265/MT C&F. Mexico remained the key U.S. buyer, highlighted by flash sales totaling 443,000 MT this week. Sorghum also saw renewed Chinese interest, with a few U.S. cargoes reportedly booked for feed. South Africa raised its corn export outlook to 3.5 MMT, with flows directed toward Asia.

**So What?** Global grain flows this week underline the competitive headwinds facing U.S. exporters. Brazil's corn remains the cheapest option for many destinations, while Argentina's tax holiday triggered a flood of cheap offers that displaced U.S. soybeans and meal in Asia. Black Sea wheat is still the most aggressive supplier, capping U.S. export prospects. Yet cracks are visible: Brazil's farmer selling has slowed under a strong real, and Argentina's export surge is temporary, likely exhausting volumes by November. For U.S. corn, steady Mexican demand provides a floor, while soybeans remain hostage to Chinese buying decisions, delayed so far but potentially supportive once harvest lows are reached. The balance of trade flows favors end-users today, but the risk of sudden shifts in South America or the Black Sea keeps the outlook volatile heading into Q4.

## Key Fundamentals & Reports (Sep 18 – Sep 24)

**Crop Progress (USDA NASS, published Sep 22 for week ending Sep 21):** U.S. corn harvest was 11 percent complete, matching the five-year average but two points behind last year's pace. Soybean harvest reached 9 percent, equal to the five-year average but three points behind last year. Crop maturity was broadly on track, though condition ratings edged lower: corn at 66 percent good/excellent (from 67) and soybeans at 61 percent (from 63). A light frost in North Dakota and Minnesota caused minor, localized damage but with most crops already at or near maturity, the impact was limited.

**So what:** The favorable weather window accelerated maturity and aided harvest, reinforcing expectations for a large crop, though dryness in the western Corn Belt raised concerns about stalk integrity and late-season losses.

**Export Inspections (USDA FGIS, week ending Sep 18, reported Sep 22):** Corn inspections were 1.329 MMT, down 12 percent from the prior week but still 12 percent ahead of last year. Soybean inspections slumped to 484,000 MT, more than 40 percent below the prior week, as Chinese buying shifted to Argentina during its tax holiday. Wheat inspections were 0.85 MMT, solid relative to last year, reflecting steady SRW shipments but still constrained by Black Sea competition.

**So what:** Corn exports remain a bright spot, underpinned by Mexico and other Western Hemisphere buyers, while soybeans face acute pressure from South American competition. Wheat exports are adequate but continue to struggle against aggressive Russian offers.

**Export Sales (USDA FAS, week ending Sep 18, reported Sep 25):** Net new-crop corn sales were 641,000 MT, led by Mexico and Japan, with two flash sales to Mexico (totaling 443,000 MT) confirming strong demand from the U.S.'s top buyer. Soybean new-crop sales were muted, with China absent and

Argentine supplies dominating. Wheat sales were modest, with U.S. offers undercut in global tenders.

**So what:** Corn's forward sales remain seasonally strong, with total commitments at 14.5 MMT (well above last year), while soybeans continue to lag badly, signaling further downside risk if China remains sidelined.

**Ethanol Production & Stocks (EIA, week ending Sep 20, published Sep 20):** Ethanol output averaged 1.055 million barrels/day, down 50,000 from the prior week due to plant maintenance but still 0.6 percent above last year. Stocks fell to 22.6 million barrels, the lowest since January, confirming that demand is absorbing supply. Positive margins (about \$0.20/gal) and firm DDGS values provided further incentive for processors to run hard.

**So what:** The corn grind for ethanol remains solid, supporting basis near plants even as harvest expands.

**NOPA Crush (published Sep 16 for August data):** The U.S. soybean crush reached 167.8 mbu in August, up 6 percent year-on-year, while soybean oil stocks fell 6.7 percent year-on-year.

**So what:** Strong crush margins are incentivizing processors to bid aggressively for beans, even as export demand weakens, cushioning the downside in cash markets.

**So What?** The data this week reaffirmed a split market: corn fundamentals remain resilient on strong export and ethanol pull, soybeans are under heavy export pressure despite robust crush, and wheat holds steady but lacks a demand spark. With harvest advancing smoothly and spreads paying commercials to store grain, the near-term focus will be on the Sept 30 Quarterly Stocks report for confirmation of old-crop carry and any surprises in wheat production.

## International Reports:

**Brazil – ANEC & Planting Pace:** Brazil's corn exports remain torrid, with ANEC raising its September forecast to 7.12 MMT, matching last year's record pace. Lineups are concentrated on China, Iran, Spain, and Egypt. FOB Santos corn held near \$215–220/MT, about \$10 below U.S. Gulf offers, while Paranaguá premiums were steady at +105¢ over Dec. Interior prices in Mato Grosso firmed slightly (~R\$50/60kg) as the stronger real slowed farmer selling. First-crop corn planting in Center-South Brazil is 25 percent complete, well ahead of average after timely rains in Paraná. Soybeans are essentially sold out of old-crop stocks, with September exports projected at 7.5 MMT. Chinese imports in August were 85 percent sourced from Brazil, underscoring its continued dominance in the soybean trade.

**Argentina – Export Surge Post-Tax Holiday:** Argentina's government suspended export taxes on soybeans, corn, wheat, and products through October 31, cutting levies from 26 percent (soybeans) and 9.5 percent (corn, wheat) to zero. The move triggered a flood of sales, with exporters registering more than 5 MMT of shipments within 48 hours. Corn FOB Up-River (Rosario) values settled near \$205/MT, roughly a \$10 discount to U.S. and Brazilian offers, and buyers from Vietnam, Malaysia, and Egypt quickly booked cargos. Soymeal FOB Rosario collapsed relative to the U.S. Gulf, undercutting by \$25/MT. The peso's collapse (official 1,412/USD, parallel 1,475) amplified farmer selling.

**So what:** Argentina's surge is a short-term bearish shock, likely front-loading exports into Oct–Nov and leaving fewer volumes available later in the season once the tax holiday ends.

**Black Sea – Abundant Supplies:** Russia remains the most aggressive wheat exporter, offering 12.5 percent protein wheat near \$255/MT FOB. Corn exports are smaller but competitive at \$205/MT. Ukraine shipped 2.1 MMT of corn in Aug–Sep via Danube and rail, though overall exports are still 40 percent below normal with the Black Sea corridor closed and EU restrictions in place. New Ukrainian export duties

on oilseeds (10 percent on soy, rapeseed, sunflower seed) effectively halted raw bean exports, redirecting some EU crush demand toward Brazil and the U.S., though in small volumes.

**Other Origins – EU, Asia, South Africa:** EU corn imports remain strong, driven by Brazil and Ukraine, while wheat exports are sluggish compared to last year. Japan, South Korea, and Taiwan booked corn tenders at \$255–265/MT C&F from both U.S. and South America. Mexico continues to anchor U.S. corn demand, highlighted by USDA flash sales this week. Chinese buyers focused on Argentina for soybeans and stayed absent from U.S. purchases, consistent with tariffs. South Africa raised its corn export forecast to 3.5 MMT (from 2.5), adding some competition into African and Asian markets.

**So What?** International flows reflect heavy competition from South America and the Black Sea, leaving the U.S. as the residual supplier for now. Brazil's record corn exports and Argentina's tax-driven flood of soy and corn are pressuring U.S. values short term. Still, both dynamics carry caveats: Brazil's farmer selling is slowing under a strong real, and Argentina's tax holiday ends in October, potentially tightening availability. For wheat, Russia remains the price leader globally, while U.S. exports rely on incremental value buying. Net effect: global trade remains oversupplied for now, but the structure is fragile, hinging on South American policy shifts and Black Sea logistics.

## Weather & Crop Conditions

**United States:** Conditions shifted toward a harvest-friendly pattern. Warm, dry weather across much of the Midwest accelerated corn and soybean maturity, keeping national harvest progress near the five-year average. Dryness persisted in the western Corn Belt, leaving subsoil deficits severe and raising concerns about stalk integrity and lodging risk as harvest advances. A light frost touched northern North Dakota and Minnesota, with lows in the 30s°F, but most crops were mature enough to avoid material damage. Scattered rains in the central and eastern Corn Belt provided some short-term soil moisture relief for winter wheat planting, but not enough to lift critically low Mississippi River levels.

**South America:** Brazil's planting season is about to ramp up, but central regions (Mato Grosso, Goiás) remained dry under El Niño influence, delaying widespread soybean seeding until consistent rains arrive. Southern Brazil (Rio Grande do Sul) also trended dry, adding stress to the wheat crop at a sensitive stage, with implications for both yield and quality. In Argentina, soil moisture remained limited across the Pampas despite some showers in northern provinces, leaving conditions less than ideal ahead of October corn and soybean planting. The temporary removal of export taxes spurred farmer sales, but the incentive to accelerate planting still hinges on improved rainfall and access to inputs.

**Global Weather Issues:** Canada's spring wheat and canola crops were revised higher after favorable late-season rains, while Russia and the EU both lifted grain production estimates, reinforcing global abundance. In contrast, dryness in southern Brazil and Argentina remains a watchpoint, particularly for wheat yields and upcoming corn and soybean planting. Australia's outlook stayed dry under El Niño, weighing on wheat prospects, while Ukraine's late-summer rains improved soil conditions for winter sowing.

**So what:** Weather has transitioned from being a yield risk to shaping harvest pace and logistics in the U.S., with dryness now a factor for river flows and basis rather than production. The light frost scare confirmed that major yield threats are mostly behind. Globally, the focus shifts south: delays in Brazil's soybean planting or persistent dryness in Argentina could tighten early 2026 export availability and add risk premium back into soybean and corn markets later this fall. For now, favorable U.S. harvest weather is slightly bearish for prices, while South American uncertainty provides the next potential catalyst.

## Synthesis & Outlook

### Synthesis & Outlook

This week marked the clear shift from weather risk to harvest reality. Futures and cash markets are aligned: modestly wider carries in corn, soy, and wheat correspond with ample but orderly supply expectations, while cash basis patterns reinforce the split between weak river/export values and firm domestic processor demand. The market is not signaling surplus panic, spreads remain well below full carry, but harvest pressure is evident, especially in soybeans where Argentina's tax holiday added an external supply shock.

Speculative positioning also reflects this transition. Funds have cut shorts in corn and wheat, reducing downside momentum, while soybeans saw outright long liquidation. This leaves markets in a balanced but sensitive posture: with fewer heavy shorts, a fresh rally will require a true fundamental catalyst (such as disappointing yield reports or unexpected export demand), while the absence of such catalysts could see the trade lean bearish again.

**Base case:** Rangebound trade is the most likely near term. December corn is expected to hover between \$4.10–\$4.40, November soybeans around \$10.00, and December wheat near \$5.20. Spreads are likely to hold at 50–65% of full carry as commercials continue to hedge storage, and basis should stay bifurcated firm at processors, weak along the river.

**Bullish triggers:** A surprise in next week's Sept 30 Quarterly Stocks or early October WASDE, such as a lower-than-expected corn yield (175 bpa or below) or a sharp trim to soybean output, could tighten balance sheets and spark short-covering. Any significant Chinese soybean purchase, or a continuation of Mexico's large-scale corn buying, would add fuel. On wheat, any sign of Russian export restriction could trigger a short squeeze given heavy fund shorts. Improvements in Mississippi River levels would also allow exports to flow more freely, supporting Gulf basis and narrowing spreads.

**Bearish triggers:** Conversely, if harvest conditions remain ideal and early yield results trend better than feared, markets could resume their grind lower. In corn, a strong harvest pace and yields near USDA's current 177.5 bpa would pull Dec futures back toward the \$4.00 area. For soybeans, continued Argentine and Brazilian competition paired with ongoing Chinese absence could pressure Nov futures toward \$9.70–\$9.80. A prolonged U.S. government shutdown after Oct 1 that halts USDA reports and inspections could also sap confidence. Macro risks, such as a firmer U.S. dollar or weaker global equity sentiment, would likewise weigh on futures.

#### **Watchlist (Sep 25 – Oct 1):**

**Quarterly Stocks & Small Grains Summary (Sep 30):** Final old-crop corn and soybean carry-in, plus updated wheat production.

**USDA Export Sales (Sep 25):** Monitor for any Chinese demand in soybeans or additional corn flash sales to Mexico.

**Mississippi River logistics:** Critically low levels continue to inflate freight and weaken Gulf bids; any rainfall or Army Corps measures could improve flows.

**South American weather:** Brazil needs consistent rains by early October to accelerate soybean planting; Argentina's planting pace depends on both moisture and financing post-tax holiday.

**Macro signals:** Government shutdown risk, crude oil direction, and currency moves (USD, BRL, ARS) all remain market shapers.

**In summary:** The grain complex enters late September with a neutral-to-bearish tilt. Supplies are ample enough to weigh on flat prices, yet not burdensome enough to trigger distressed selling. Commercials are content to carry grain at profitable spreads, while end-users benefit from weak export basis and firm processor bids. The pivot from weather to harvest means that yield reports, stocks data, and export flows

will now set direction. With speculative shorts reduced, rallies require fresh bullish fuel — absent that, the market will likely remain rangebound into early October.

## Ethanol for America Act

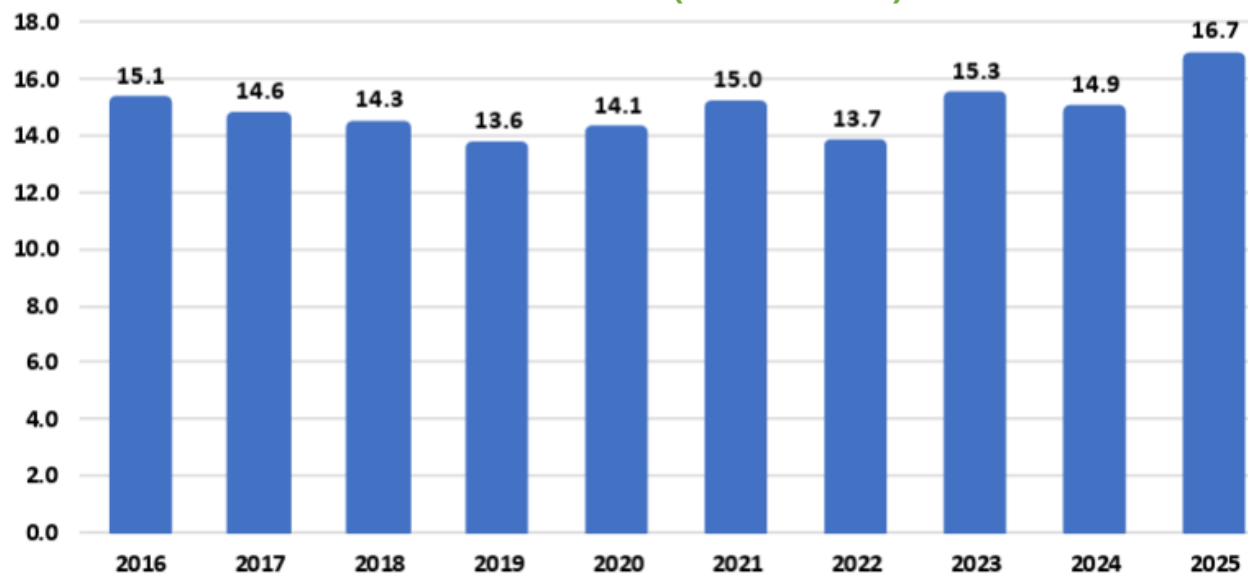
The major barrier to a higher Renewable Fuel Standard (RFS) is the fuel versus food debate. Now is the perfect time to move to E15. Corn prices are extremely low, and the latest USDA WASDE reported a record crop and a record crop expansion.

USDA WASDE forecast corn production at 16.7 billion bushels, with the yield at 188.8 bushels per acre and ending stocks at 2.1 billion. The season-average corn price dropped 30 cents to \$3.90 a bushel. Most importantly, 2025/26 crop year is expected to have 1.8 billion more bushels than 2024/25.

With current ethanol production consuming 5.6 billion bushels, a 10 percent increase in consumption would consume an additional 560 million bushels. The reality is that year around E15 would add approximately 50 million bushels and regulatory streamlining would add another 50 million bushels. At some point over the next ten years, the additional corn consumption could be 2.8 billion bushels minus lower fuel consumption resulting from electric vehicles. The ethanol corn consumption increase is likely to be more of a S curve as new compacity comes online.

With Brazil and the U.S. corn and soybean production increasing, 100 million bushels of ethanol corn consumption will barely move the needle. The ethanol production capacity expansion that would be three to four years from now is when the corn consumption impact to the corn market would be felt.

### U.S. Corn Production (Billion Bushels)



Source: USDA

For example:

*The National Corn Growers Association (NCGA) is intensifying its call for action from Congress and the administration after the U.S. Department of Agriculture's latest World Agriculture and Supply and Demand Estimates report projected a record 16.7-billion-bushel corn crop this year, further threatening the livelihood of farmers already facing record-low corn prices.*

*"Corn growers are already marketing their corn for extremely low corn prices, and this massive projected corn supply without market-based solutions to increasing corn demand is already causing corn prices to fall further," said Illinois farmer and NCGA President Kenneth Hartman Jr.*